Sell-Side Case: 5 Potential Acquirers for a ₹500 Cr Auto-Components Business

Buyer-universe analysis for an investment banking portfolio project. Prepared November 10,2026.

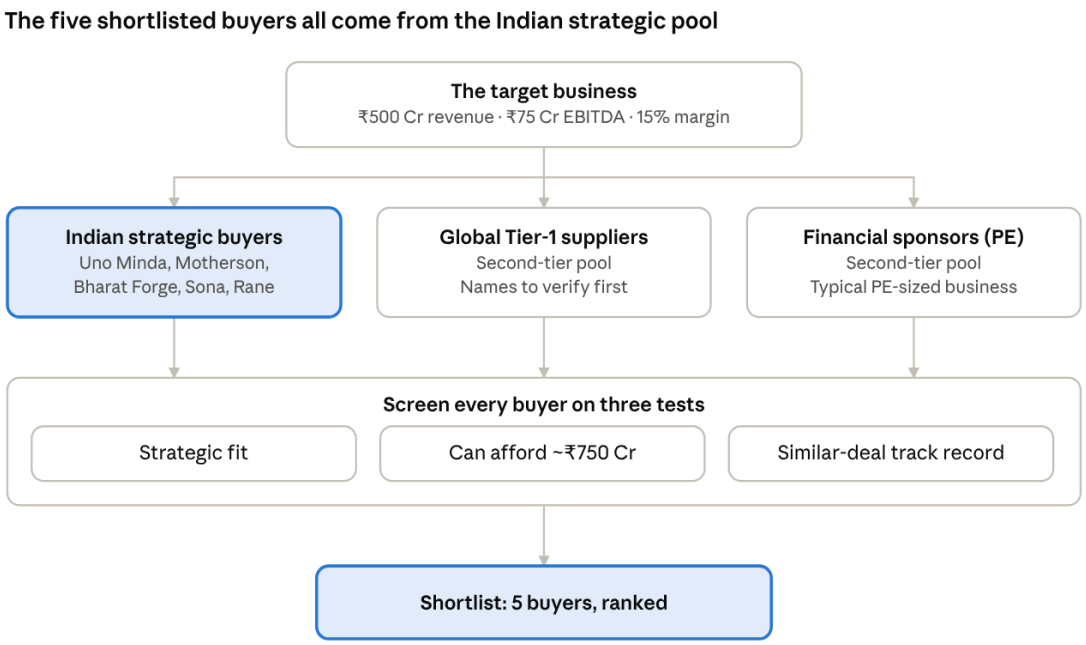
The Case

A client wants to sell an auto-components business with revenue of ₹500 Cr, EBITDA of ₹75 Cr and a 15% margin. The task is to identify 5 companies that could acquire it and, for each, explain why they would want it, whether they can afford it, and whether they have acquired similar businesses before.

Step 1: Frame the Deal

The case does not say what the business makes (castings, electronics, drivetrain, seating and so on), and that decides who the best buyer is. Assumption used here: a diversified tier-2 supplier to passenger vehicles and 2-wheelers.

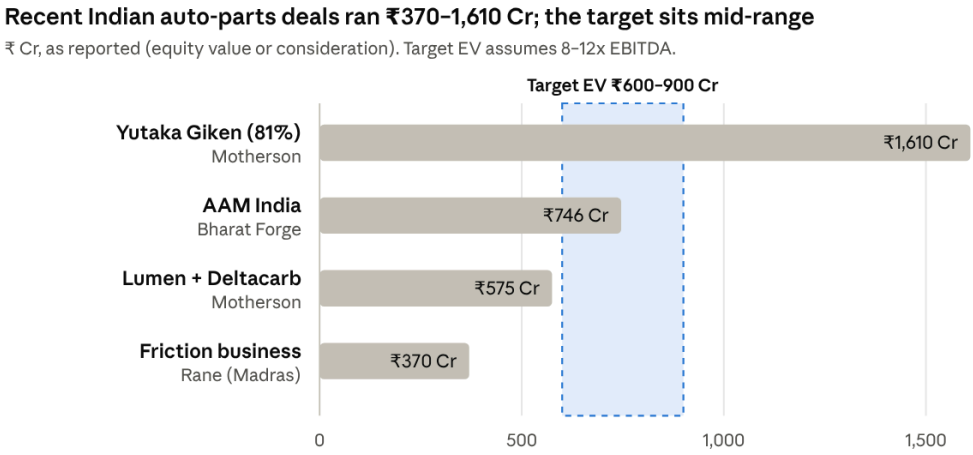
Indicative deal size: 15% margin is healthy for the sector. At roughly 8–12x EV/EBITDA (an assumption, not a market quote), enterprise value is about **₹600–900 Cr**. A buyer therefore needs to afford roughly ₹750 Cr plus integration costs.



buyer-universe flow · 3 pools, 3 tests

All five buyers come from the Indian strategic pool and were screened on fit, affordability and track record. PE funds and global Tier-1s are a second tier to verify.

Step 2: The 5 Buyers



deal values from the buyer notes below · 4 recent deals vs assumed target EV

A ₹600–900 Cr target is smaller than Motherson's Yutaka Giken deal and similar to Bharat Forge's AAM India purchase.

1. Uno Minda (strongest strategic fit)

- **Why they would want it:** Its growth strategy relies on acquisitions and JVs in new product lines. It recently raised its stake in Minda Onkyo India to 99% and announced a ₹320 crore greenfield entry into 4W seating through a JV with Japan's TACHI-S.
- **Can they afford it?** Yes. Market cap was about ₹67,489 crore on July 30, 2026, so ₹750 Cr is roughly 1% of that. Net debt was about ₹23.2b at September 2025, around 1.2x EBITDA, which leaves debt capacity. Operating cash flow in FY26 was ₹1,398.66 Cr.
- **Track record:** Strong (Minda Onkyo, FRIWO JV, TACHI-S JV).
- **Risk:** It is already absorbing several deals, so integration bandwidth is a concern.

2. Samvardhana Motherson (SAMIL), the serial acquirer

- **Why they would want it:** It buys to add content per vehicle and customer access, and ₹750 Cr is a bolt-on for it.
- **Can they afford it?** Yes. It agreed to pay about USD 184 million (over ₹1,610 crore) for 81% of Japan's Yutaka Giken, so the target is well within its range.
- **Track record:** Deep. It also bought Lumen Group and Deltacarb for around ₹575 crore.
- **Risk:** Several large global deals are in flight, and it recently realigned target deadlines for three of them, so leverage and bandwidth need checking.

3. Bharat Forge (best size precedent)

- **Why they would want it:** It is diversifying beyond forgings into broader auto and industrial offerings. Fit is best if the target does machining, drivetrain or chassis parts.
- **Can they afford it?** Yes. It completed the AAM India acquisition for an equity value of INR 7,464.6 million, almost exactly this deal size.

- **Track record:** Recent and directly comparable.
- **Risk:** Muted global demand in commercial vehicles and off-highway may make the board cautious.

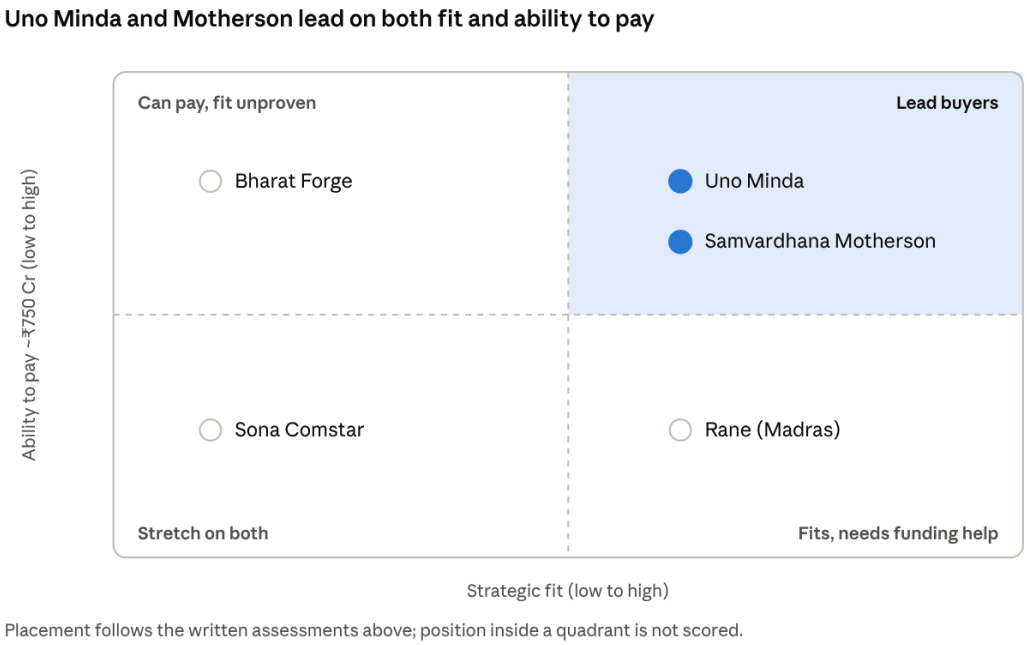
4. Sona Comstar (EV and driveline angle)

- **Why they would want it:** It wants EV and driveline content and geographic reach. It signed a term sheet with China's Jinnaite Machinery for a driveline JV, which shows appetite for inorganic growth.
- **Can they afford it?** Probably. Q2 FY2026 revenue was a record INR 11.44 billion, so the target is large relative to one quarter of its sales and would likely need debt funding.
- **Track record:** Moderate. Verify its past acquisitions before making any claim.
- **Risk:** Fit depends on the target having EV-relevant products.

5. Rane (Madras) (the stretch buyer)

- **Why they would want it:** It is consolidating domestic portfolios. It signed an agreement to acquire Hindustan Composites' friction business for Rs 370 crore.
- **Can they afford it?** Doubtful at ₹750 Cr, which is about double its latest deal. It would likely need a partial stake, a PE co-investor or stock.
- **Track record:** Real, but smaller.
- **Why include it:** It shows honest judgment on affordability instead of listing only big names.

Bonus: Add a line on financial sponsors (PE funds) and global Tier-1s as a second tier. A 15% margin and ₹75 Cr EBITDA is a typical PE-sized business. Name specific funds only after verifying their auto portfolios.



buyer map · 5 buyers on 2 axes, qualitative

Bharat Forge and Sona Comstar move up if the target's products match their segments; Rane needs a partner or debt to close the gap.

Step 3: Make It IB-Grade

- **Scoring matrix:** Rate each buyer 1–5 on strategic fit, ability to pay and acquisition track record, then rank them. About 10 minutes in Excel.
- **Sources slide:** List annual reports, exchange filings and press releases.
- **Verify before posting:** Re-check market data on screener.in or company filings. Sources used were a mix of company filings, news and aggregators.
- **Label assumptions:** The multiple range and the target's segment are assumptions.